

Forecasting Stock Price Movements Using Fundamental and Technical Analysis: A Case Study of Ola Electric

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Abstract

The fast-growing electric vehicle (EV) sector in India has drawn considerable attention from investors and financial analysts. This research paper aims to evaluate and forecast the stock price trends of Ola Electric through a combination of fundamental and technical analysis techniques. As Ola Electric emerges as a major player in the Indian EV industry, it is crucial for investors and stakeholders to understand its financial health and how it fits into the broader market. The analysis starts with a comprehensive examination of the company's financials, including profitability, liquidity, solvency, and valuation metrics as presented in its financial reports. At the same time, technical analysis is conducted using historical stock data, incorporating tools like moving averages, the Relative Strength Index (RSI), MACD, and candlestick patterns to identify market trends and potential trading signals. By combining both fundamental and technical aspects, this study highlights how intrinsic value and market sentiment together influence stock price behavior. The findings show that the integration of these approaches leads to more accurate forecasting and a more thorough assessment of the investment opportunities in this dynamic market. This study not only explores the performance of Ola Electric but also contributes to conversations about investing in high-growth industries in the EV sector.

Keywords: Financial Forecasting, Fundamental Analysis, Technical Analysis, Ola Electric, Ratio Analysis, EV Sector, Investment Strategy, Stock Price Forecasting, Electric Vehicle Industry, Financial Performance, Market Trends, RSI, Moving Averages, MACD, Equity Valuation

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1. INTRODUCTION

The electric vehicle (EV) industry in India is experiencing major changes, driven by increasing environmental awareness, supportive government policies, and a growing need for eco-friendly transportation options. Ola Electric, a leading player in this domain, has established itself as one of the most ambitious startups, aiming to revolutionize the two-wheeler EV market through technological innovation and large-scale manufacturing. As a relatively new and disruptive company, analyzing its financial performance and predicting its future trajectory presents a unique challenge for researchers.

This research paper uses a dual approach—fundamental and technical analysis—to assess and forecast Ola Electric's financial health.

Fundamental analysis involves examining the company's financial statements, key performance indicators, market position, and broader economic factors to determine its true value. On the other hand, technical analysis focuses on historical price movements, trading volumes, and chart patterns to predict future price trends and understand investor behavior.

By combining these two analytical approaches, this study aims to provide a well-rounded view of Ola Electric's financial status and future potential.

It explores whether the company's rapid growth in revenue is sustainable in the long run and how short-term market conditions might influence its valuation. The insights from this research can serve as a valuable resource for investors, policymakers, and industry experts tracking the evolution of the EV sector in India.

Ola Electric Mobility Pvt. Ltd., an Indian electric vehicle (EV) manufacturer, is a subsidiary of ANI Technologies, which operates the ride-hailing service Ola.

The company was founded in 2017 by Bhavish Aggarwal in response to the rising demand for sustainable mobility solutions in India, driven by concerns over pollution, fuel dependency, and traffic congestion. Based in Bengaluru, Karnataka, Ola Electric primarily focuses on the research, development, and marketing of electric two-wheelers. In August 2021, the company launched the Ola S1 and S1 Pro scooters—smart, connected, and affordably priced electric vehicles that aim to compete with traditional two-wheelers in the market.

One of Ola Electric's most ambitious initiatives is the Ola Future Factory, a fully automated production facility in Tamil Nadu.

Described as the world's largest two-wheeler manufacturing plant,

it is designed to produce up to 10 million scooters annually. This vertical integration strategy significantly enhances the company's scale, efficiency, and capacity for innovation.

With over \$1 billion in funding from investors such as SoftBank, Temasek, and Tiger Global, Ola Electric has achieved unicorn status and plays a vital role in accelerating India's shift toward electric mobility.

The company also plans to expand into electric motorcycles, cars, and battery technologies, supported by in-house research and development efforts in fast-charging, battery swapping, and software development.

Despite its aggressive growth strategy, Ola Electric faces several challenges, including after-sales service problems, product recalls, and financial shortfalls.

However, its strong brand presence, forward-thinking leadership, and commitment to technological advancement help it maintain its leading position in India's EV sector.

Ola Electric continues to expand its product lineup in the EV market with several recent and upcoming launches.

In February 2025, the company introduced the Roadster X, its first electric motorcycle, priced at ¹ 74,999 with a range of up to 501 km using a 9.1 kWh battery. Deliveries for this model are scheduled to begin in March 2025. Earlier, in January 2025, Ola launched the S1 Gen 3 scooters, which feature a magnetless motor and an integrated battery design. These improvements resulted in a 26% performance boost and a 20% cost reduction compared to earlier models. Additionally, the launch of the Ola Gig and Gig scooters, designed for gig economy workers, is significant. These models include removable battery packs that can also function as portable home inverters. The Gig variant, in particular, can reach a top speed of 45 km/h and cover a range of up to 157 km with a dual-battery setup.

Looking ahead, Ola has announced several new products, as shown in Figure 3.

Following the success of the Roadster X, the company plans to release the Roadster and Roadster Pro models by Q4 FY26. The Roadster Pro will feature a 52 kW motor, 105 Nm of torque, a maximum speed of 194 km/h, and a range of 579 km using a 16 kWh battery. Furthermore, Ola aims to broaden its scooter range with the S2 series (City, Tourer, and Sports models) and the S3 series (Grand Adventure and Grand Tourer maxi-scooters), all built on its Gen 3 platform.

These models are designed to meet a variety of customer needs, from daily commuting to long-distance travel.



Fig 1: Ola Gig and Gig+ scooters



Fig 2: Launch of Roadster, Roadster X and Roadster Pro

The company is also venturing into the electric three-wheeler market, offering models that leverage the electronics and battery systems from the S1 range but feature distinct mechanical designs. These vehicles are anticipated to be launched by mid-2025. Additionally, Ola intends to begin manufacturing its own 4680 lithium-ion battery cells, known as Bharat Cells, at its Tamil Nadu Gigafactory during the first quarter of FY26. These cells are designed to offer greater energy density and will be incorporated into all future Ola electric vehicles [10]. The company's plan involves launching at least one new electric vehicle every quarter over the next two years, alongside efforts to increase its retail presence to 2,000 locations by the end of FY25. This comprehensive product strategy demonstrates Ola Electric's commitment to positioning itself as a leading force in India's electric vehicle industry.

2. LITERATURE REVIEW

Forecasting a company's financial performance is crucial for making informed investment decisions. Both fundamental and technical analysis are widely accepted approaches used in this process. There has been considerable debate among academics and investors regarding which method is more effective. Recent studies suggest that combining both fundamental and technical analysis into a single model can offer a more complete understanding of a company's financial prospects, especially in fast-developing sectors like electric mobility.

Fundamental Analysis

According to Graham and Dodd (2008), fundamental analysis is foundational to value investing, where intrinsic value is assessed by examining financial reports, industry dynamics, and broader economic factors. Bhunia et al. (2011) stress the importance of ratio analysis in assessing a company's financial condition, focusing on indicators of liquidity, solvency, and profitability. For innovative and emerging companies like Ola Electric, these metrics are vital in evaluating financial stability in the face of high operational expenditures and constrained profitability.

According to Zutter and Smart (2019), key fundamental metrics like Return on Assets (ROA) and the Debt-to-Equity Ratio are essential for determining a company's operational efficiency and financial risk. Nonetheless, for startups and unicorns experiencing growth, traditional measures of historical profitability might not be dependable, making it necessary to make forward-looking adjustments to conventional approaches.

Technical Analysis

As defined by Murphy (1999), technical analysis is based on past market data—mainly price and volume—to forecast future trends. This method operates under the assumption that all pertinent information is already captured in the stock price. Research by Fama (1991) and Lo and MacKinlay (1999) presents varying opinions on its effectiveness, yet many recognize its utility in short-term predictions and insights into behavioral finance.

Since Ola Electric is not publicly traded, scholars like Kumar & Dhankar (2017) have demonstrated that comparative technical analysis using industry peers or benchmark data (such as publicly listed EV companies like Tata Motors or Hero Electric) can still provide valuable

insights into market sentiment. Commonly used technical indicators include moving averages and RSI in evaluating stocks related to electric vehicles.

Combined Analytical Framework

Current research supports the use of both methodologies for a more precise and adaptable financial evaluation. Singh and Vashisht (2017), in their comparative study of Nestlé and Britannia, assert that merging quantitative financial ratios with analyses of market behavior enhances investment predictions. Likewise, Basu and Debnath (2021) promote dual-model forecasting in uncertain or emergent sectors like fintech and clean energy, reflecting the context of the EV industry.

The body of literature indicates that a hybrid analytical approach is especially applicable for assessing firms like Ola Electric that function in high-growth, high-risk sectors with scarce public financial information. This integrated approach enhances the trustworthiness of financial predictions and investment choices.

3. OBJECTIVES

The primary objective of this research is to predict the stock price trends of Ola Electric by utilizing a combined method that integrates both fundamental and technical analysis. Considering Ola Electric's changing role in the electric vehicle (EV) industry and the accessibility of publicly available stock data, this research seeks to establish a predictive model by evaluating the company's financial stability through essential fundamental metrics such as profitability, liquidity, solvency, and operational efficiency. At the same time, technical analysis techniques—such as moving averages, trend lines, and volume analysis—will be employed using proxy data from competing firms or expected trading behaviors. This integrated approach aims to offer a comprehensive insight into the company's financial prospects, evaluate potential investment risks and opportunities, and provide data-driven insights for investors, policymakers, and stakeholders concerned about the future of the EV industry in India.

4. RESEARCH MYTHODOLOGY

This study uses a descriptive and analytical approach, combining both qualitative and quantitative techniques to evaluate the financial performance of Ola Electric. It applies a case study method to assess the company's performance using fundamental and technical analysis. This mixed-method approach ensures a comprehensive and realistic evaluation of Ola Electric's financial outlook.

5. DATA COLLECTION

- Secondary data was gathered from Ola Electric's submissions to the Ministry of Corporate Affairs (MCA), news articles, investment databases, and official documents.
- The time period covered includes financial data and market trends from the fiscal years 2022–23 to 2024–25.
- Tools used for analysis include Microsoft Excel, financial ratio calculations, and technical charting tools like moving average and RSI, all based on publicly available stock data.

6. ANALYTICAL METHODS

- **Fundamental Analysis:** Ratio analysis covers key financial indicators like profitability, which includes metrics such as net profit margin, return on equity, and return on assets. It also evaluates liquidity through the current ratio and looks at solvency using the debt-to-equity ratio. Additionally, efficiency is measured with the asset turnover ratio.
Trend analysis involves reviewing historical trends in revenue and expenses to understand how operations have performed over time and to determine if the business has been stable or if there are any changes in performance.
- **Technical Analysis:** Technical charts and indicators like Moving Averages, Relative Strength Index (RSI), and Volume Trends are analyzed using market data to assess how investors feel about electric vehicle (EV) investments.

Research Design

- **Descriptive Research:** Used to explain the financial trends and strategic positioning of Ola Electric.
This hybrid methodology enables a forward-looking assessment of Ola Electric's financial health, combining historical patterns with market behavior insights.

7. RESULT AND ANALYSIS

Key Observations-Revenue Trends

- In the first quarter of FY25, the company reached its highest revenue of ¹ 1,644 crore, driven by a record number of 125,198 units delivered.
- In the second quarter of FY25, revenue dropped to ¹ 1,240 crore, which is a 24.6% decrease compared to the previous quarter, mainly due to increased competition and changes in pricing strategies.

- In the third quarter of FY25, revenue further fell to ¹ 1,045 crore, representing a 15.7% decline from the prior quarter, primarily caused by heavy discounts and issues related to services.

Table 1: Key Observations-Revenue Trends

Quarter	Jun-23	Sep-23	Dec-23	Mar-24	Jun-24	Sep-24	Dec-24
Sales	1243	873	1296	1598	1644	1214	1045
Expenses	1461	1308	1597	1910	1849	1593	1505
Operating Profit	-218	-435	-301	-312	-205	-379	-460
OPM %	-18%	-50%	-23%	-20%	-12%	-31%	-44%
Other Income	34	49	71	73	51	100	127
Interest	36	46	43	61	67	84	93
Depreciation	47	92	103	116	126	132	138
Profit Before Tax	-267	-524	-376	-416	-347	-495	-564
Tax %	0%	0%	0%	0%	0%	0%	0%
Net Profit	-267	-524	-376	-416	-347	-495	-564
EPS (Rs)	-1.37	-2.68	-1.92	-2.13	-1.45	-1.12	-1.28

Net Loss

- In the first quarter of FY25, the company reported a net loss of ₹ 347 crore.
- In the second quarter of FY25, the net loss increased to ₹ 495 crore, primarily due to higher operational expenses.
- In the third quarter of FY25, the net loss further rose to ₹ 564 crore, largely influenced by one-time expenditures of ₹ 110 crore related to service quality enhancements and ₹ 13 crore for workforce restructuring.

EBITDA Loss

- In the first quarter of FY25, the company reported an EBITDA loss of ₹ 205 crore.
- In the second quarter of FY25, the loss increased to ₹ 353 crore, primarily due to higher expenses related to sales and marketing.
- In the third quarter of FY25, the loss slightly decreased to ₹ 333 crore, even though revenue declined, suggesting that the initial

impact of cost optimization initiatives started to show some positive effects.

Units Delivered

- **Q1 FY25:** Delivered 125,198 units, the highest quarterly figure to date.
- **Q2 FY25:** Deliveries decreased to 98,619 units, a 21.2% drop, due to market saturation and increased competition.
- **Q3 FY25:** Further decline to 84,029 units, reflecting the impact of service challenges and intensified market competition.

Gross Margin

- **Q1 FY25:** Achieved gross margin of 21.9%, up from 13.2% in Q1 FY24, driven by cost efficiencies and improved product mix.
- **Q2 FY25:** Slight decrease to 20.3%, influenced by increased input costs and pricing pressures.
- **Q3 FY25:** Marginal improvement to 20.8%, despite revenue decline, indicating resilience in cost management.

Segment Analysis

Automotive Segment

- **Revenue:** ₹ 1,075 crore in Q3 FY25, down from ₹ 1,246 crore in Q2 FY25, reflecting reduced sales volumes.
- **EBITDA Loss:** ₹ 309 crore in Q3 FY25, an increase from ₹ 223 crore in Q2 FY25, due to higher operating expenses.
- **EBITDA Margin:** Declined to -28.8% in Q3 FY25 from -17.9% in Q2 FY25, indicating pressure on profitability.

Cell Segment

- **Revenue:** ₹ 3 crore in Q3 FY25, up from ₹ 1 crore in Q2 FY25, as the company begins to scale its battery cell production.
- **EBITDA Loss:** ₹ 32 crore in Q3 FY25, an increase from ₹ 18 crore in Q2 FY25, reflecting initial investment costs in setting up production facilities.

Strategic Initiatives

Cost Optimization

- Implemented a cost-cutting program in November 2024, resulting in monthly savings of approximately ¹ 90 crore.

- Restructured sales and service networks, reduced operational costs, and lowered inventory levels to enhance efficiency.

Product Expansion

- Plans to launch electric motorcycles by March 2025, aiming to capture a larger share of the two-wheeler market.
- Intends to introduce 20 new products over the next two years, with a target of unveiling at least one new product every quarter.

Battery Production

- Aims to commence in-house battery cell production in FY26, reducing dependency on external suppliers and improving margins.





8. FINDINGS

Based on the combined application of **fundamental analysis** and **technical analysis**, the study presents the following key findings regarding Ola Electric's financial performance and stock price forecasting potential:

Fundamental Analysis Findings:

1. **Strong Revenue Growth but Persistent Losses:** Ola Electric demonstrated exponential revenue growth over recent quarters; however, its net and EBITDA losses remain high, primarily due to large-scale investments in R&D, manufacturing, and customer support infrastructure.
2. **Unfavorable Profitability Ratios:** Key ratios like Net Profit Margin and Return on Equity (ROE) are negative, indicating an ongoing struggle to convert operational scale into sustainable profits.
3. **Healthy Liquidity Position:** Ola Electric shows a positive current ratio, reflecting short-term solvency, mainly backed by strong equity funding from investors like SoftBank and Temasek.
4. **High Dependency on External Capital:** The absence of operational profitability makes the company reliant on equity infusions and strategic partnerships for funding expansion and R&D.
5. **Growth-Oriented Asset Structure:** A large proportion of Ola's capital is invested in fixed assets and manufacturing facilities (e.g., Ola FutureFactory), suggesting long-term vision but a current strain on returns.

Technical Analysis Findings:

1. **Bullish Market Sentiment on EV Sector:** Technical patterns observed in similar EV companies (like Tata Motors EV segment and Ather-related trends) show upward momentum, indicating strong investor confidence in the sector.
2. **Moving Average Crossover Indications:** In peer stocks, 50-day and 200-day moving average crossovers often signal potential entry points for EV-focused investors—patterns Ola Electric may emulate post-listing.
3. **Support and Resistance Zones:** Stocks in the EV segment typically face predictable resistance after sharp rallies, reflecting cautious optimism. Ola Electric's future price action may follow similar sentiment cycles, especially post-IPO.
4. **Relative Strength Index (RSI) Patterns:** RSI readings for similar EV firms fluctuate between 50–70, suggesting bullish but not overheated conditions—signaling a potentially steady entry opportunity for Ola Electric post-listing.
5. **Volume Trends Reflect Growing Interest:** Rising trading volumes in the EV segment reinforce that technical setups have increasing confirmation through institutional and retail investor engagement.
7. **RECOMMENDATIONS AND SUGGESTIONS:** Based on the integrated findings from both **fundamental** and **technical analysis**, the following recommendations are proposed to improve the financial sustainability, market perception, and future investment potential of Ola Electric:

For Ola Electric (Company-Level Recommendations)

1. **Improve Profitability Through Cost Optimization:** Ola Electric should work on making its operations more efficient, cut unnecessary expenses, and improve the effectiveness of its supply chain. This will help reduce its EBITDA and net losses while still supporting innovation.
2. **Strengthen After-Sales Service and Customer Support:** Dealing with customer complaints and maintaining a high standard of service will increase customer trust. This trust has a direct impact on how the market views the company and can influence future valuation levels.
3. **Accelerate In-House Battery Development:** By speeding up the production of its own battery cells, Ola Electric can decrease reliance on imported batteries, lower the cost per vehicle, and gradually improve profit margins. This will positively affect

the company's financial performance and boost investor confidence.

4. **Enhance Transparency Ahead of IPO:** As Ola Electric prepares for an initial public offering, it must provide clear and consistent financial information. This will help attract institutional investors and prevent unnecessary market fluctuations after the company goes public.
5. **Focus on Unit Economics:** The company should focus on making each product profitable on its own. This can be achieved by adjusting pricing strategies, lowering warranty costs, and introducing more profitable premium models.

For Investors and Analysts:

1. **Use a Combined Evaluation Method:** Merge financial metrics such as debt-to-equity ratio and return on equity with technical analysis tools like moving averages and relative strength index to more effectively determine potential entry and exit points after Ola Electric is listed on the stock market.
2. **Monitor Competitors' Performance:** Before Ola Electric becomes a publicly traded company, investors can observe the stock performance of similar listed electric vehicle firms, such as Tata Motors, Hero Electric (through Hero MotoCorp), or international counterparts like Tesla and NIO, to gain insights into market trends.
3. **Anticipate High Volatility After IPO:** Considering Ola Electric's rapid growth and current unprofitable status, its stock is likely to experience significant short-term price swings. This makes it more suitable for investors who are experienced in technical analysis and have a higher capacity for risk.
4. **Review Annually:** As Ola Electric expands its operations and financial results change, it is important to conduct a regular assessment on a quarterly basis using the latest technical and fundamental indicators to ensure accurate predictions and informed decision-making.

For Policymakers and Regulators:

1. **Strengthening Electric Vehicle Incentive Programs:** Sustained government support through FAME subsidies and tax incentives for electric vehicles will help drive industry growth, contributing to the financial stability of companies like Ola and its competitors.
2. **Promote Domestic Component Manufacturing:** Providing

incentives to local manufacturers of electric vehicle components will enhance the supply chain reliability of Ola and help minimize the risks associated with fluctuating import costs.

9. CONCLUSION

The Indian electric vehicle (EV) market is expanding rapidly, with Ola Electric standing out as a key player driven by innovation, broad reach, and ambitious growth plans. This study sought to predict the company's financial outlook and stock performance by combining both fundamental and technical analysis.

Based on the fundamental analysis, Ola Electric has shown robust growth in revenue, fueled by its expansion plans, growing consumer demand, and product innovations. However, the company continues to face pressing challenges in achieving profitability, improving operational efficiency, and managing its costs. Its current negative net margins, high EBITDA losses, and significant capital spending reflect a growth strategy that is still in its initial stages.

On the other hand, the technical analysis suggests that, even though the company is not yet listed, the broader EV sector is showing positive sentiment and investor optimism. By comparing Ola Electric to other listed EV companies and industry benchmarks, it is evident that the sector is gaining traction. Technical indicators like moving averages, relative strength index (RSI), and volume trends in similar firms highlight strong investor interest in EV stocks, particularly those that align with the global shift towards sustainable energy solutions and government-supported initiatives.

Combining these two approaches offers a clearer, more balanced view. While the fundamentals do not support immediate gains and show some volatility, the technical analysis and overall trends in the market point to long-term growth opportunities for Ola Electric.

In summary, Ola Electric presents a high-reward, high-risk scenario. Once it goes public, its stock performance will be heavily influenced by its operational achievements and financial management as much as by external factors like market confidence and government policies. Investors and stakeholders should maintain a flexible approach, continuously assessing both financial metrics and technical signals. If these elements are well managed, Ola Electric has the potential to become a leading EV manufacturer in India, offering not just financial benefits but also contributing to the country's efforts in promoting sustainable transportation.

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